

gold prices, digital gold offers a way of owning a small fraction of physical gold, and gold funds and gold FoFs invest in gold ETFs. Each option offers a different method of investing in gold; they come with varying levels of risk, liquidity, and expenses.

Gold ETFs and FoFs offer mutual fund units and are therefore regulated products. Digital gold products are unregulated, relatively less transparent in pricing and involve counterparty risks, says Vishal Jain, CEO, Zerodha Fund House.

Gold ETFs are passive instruments backed by high-purity gold and offer returns that closely track the price of physical gold, says Sugandha Sachdeva, the founder of wealth management firm SS WealthStreet.

The investment instrument is highly liquid and provide investors the flexibility of gaining exposure to gold gradually in small quantities without the hassle of storing gold. “Gold ETFs can be traded on both the exchanges like stocks, offer transparent pricing, provide easy entry and exit and can be held in demat accounts. However, while selling, investors don’t get physical gold but cash equivalent,” she says.

THE FLIP SIDE

To select the right gold ETF, investors should consider expense ratio, liquidity, trading volumes and tracking error to ensure the ETF closely mirrors gold price movements. They should also consider the reputation of the fund house and operational efficiency.

Mirae Asset’s Sachdeva says that unlike physical gold, ETFs do not provide direct access to gold and the price of ETF units is prone to market volatility from demand-supply dynamics even if gold prices remain stable.

“Also, asset management fee, often 0.4-1%, may reduce returns. Investors also have to pay brokerage and demat charges. The gap between buying and selling prices can impact returns, especially if liquidity is low. Investing in gold ETFs requires a demat account, adding cost and a layer of complexity,” she adds.

WHY DIFFERENT NAVs

Different gold ETFs have different net asset values (NAVs), which largely depend on the fraction of gold represented by a unit, cash, debt or equivalents held by the fund for liquidity management, and expenses like management fees, operational costs and other deductions.



RAGHAV IYENGAR
CEO, 360 ONE ASSET
MANAGEMENT

“Gold ETFs provide a convenient and efficient way for investors to gain exposure to gold. They offer liquidity, allowing easy buying and selling without the need to store or insure physical gold”



SIDDHARTH SRIVASTAVA
HEAD OF ETF
PRODUCT & FUND
MANAGER, MIRAE
ASSET INVESTMENT
MANAGERS (INDIA)

“Typically, when gold ETFs are launched, one unit reflects .01 gm of gold. Over time, total expense ratio charged by the fund and tracking error result in a difference between the net asset value (NAV) and the gold price”

Total Expense Ratio—the percentage of assets that a fund sets apart to cover costs—for investors includes brokerage and goods and services tax, similar to charges incurred while buying and selling stocks in the securities market. Gold ETFs do not attract securities transaction tax.